NMC Community Health Initiatives – 340B

The purpose of the 340B program is to enable covered entities to stretch scarce federal resources as far as possible, reaching more eligible patients. NMC strives to realize the original intent of the 340B program by using revenue and savings to support a number of vital initiatives and services that are unfunded or operating at a loss.

Initiative Description	2025 Total
Community health fund This fund is available to community members and organizations who support the health of people who experience barriers to care and well-being. The needs provided for by this fund are various, and include transportation, patient supplies, and basic items needed discharge.	$ 30,000.00
Commission on Cancer Accreditation/Cancer Committee Provides standards and guidance on NMC's cancer programs to optimize the care of patients with cancer, cancer survivors, and their families. Membership also allows for participation in the NCDP cancer database.	$ 90,000.00
Sexual Orientation and Gender Identity (SOGI) Health Equity Initiative Funding supports: • Organization-wide education and coaching on bias training and strategies for making all patients feel safe and respected. • Developing a DEIB communications strategy and policy review. • Developing a bias reporting and response system. • Education on caring for non-binary patients to identify disparities, tailor treatments, and offer appropriate screenings. • Updates to NMC's EMR and registration systems to more accurately reflect the identities of our patients.	$ 50,000.00

NMC Community Health Initiatives – 340B

Maternal/Fetal Medicine and OB/GYN Services Access to quality maternal/fetal medicine and OB/GYN care is vital to our community. • NMC's Family Birth Center (FBC) offers personalized birth experiences and education on infant safe sleep, car seat safety, and breast feeding in a Baby-Friendly accredited facility. In addition to maternal and newborn care, the FBC provides services for a wide variety of women's health needs and inpatient pediatric care. • Northwestern OB/GYN is a full-service practice which provides prenatal and gynecologic care to our community. Access to local care is vital to ensuring the health of our patients. In 2025, these service lines experienced a loss of more than $5.2 million combined, due to the retirement of longtime providers and the resulting staffing instability, rising supply and staffing costs, and needed equipment upgrades. 340B savings and revenue help to keep this service line available to women in our community.	In FY2025, 340B savings and revenue helped to offset $1.175 million of the operating losses incurred by the Maternal-Fetal Medicine and OB/GYN service lines at NMC.

Compliance Monitoring and Management

NMC has systems/mechanisms and internal controls in place to reasonably ensure ongoing compliance with all 340B requirements. The following 340B Compliance Review summarizes all activities performed to ensure comprehensive and continuous monitoring of 340B compliance at NMC.

The Pharmacy Manager oversees the monitoring effort, which analyzes transactional and dispensing data for compliance, as well as direct monitoring of provider eligibility and identified providers with complex eligibility. The frequency of analysis and types of transactions included will be based on risk; some reviews will be conducted monthly, others quarterly and others at periodic intervals. The reviews will be performed using both random and targeted sample sets and will examine, at a minimum, patient eligibility, duplicate discount prevention, diversion controls and ensure the accuracy of information on the OPAIS covered entity database. The 340B Program Manager is responsible and accountable for maintaining this review process, as well as taking corrective actions based upon findings. Any errors, questions or problems discovered during this monitoring process are documented, maintained, and archived.

Monitoring reports are shared with the 340B Oversight Committee periodically, so that appropriate corrective action may be taken if needed.

Compliance Activity Table

		Area of Compliance		
Activity	Frequency	Entity Eligibility	Diversion Prevention	Duplicate Discount Prevention
Review of all HRSA 340B Database information for NMC, indigent care agreement with state/local government, and Medicare Cost Report (Worksheet E, Part A and Worksheet A), prior to recertification	Annually	X		
340B Oversight Review	Annually	X	X	
3rd Party Vendor External Audit of NMC/Contract Pharmacies	Annually	X	X	X

Review of Hospital/Retail Carve-Out configurations	Monthly		X	
Review Child-Site Registration and Authorizing Official information	Quarterly	X		
Review MCR Crosswalk	Annually	X		
Review of 340B Self-Audit Reports (mixed-use and contract pharmacy)	Monthly	X	X	X
Replenishment Review	Quarterly		X	X
Update prescriber eligibility files with TPA/contract pharmacy	Monthly		X	
Provider Monitoring	Monthly		X	
Split-Billing software maintenance/auditing (CDM-NDC mapping, updates, etc.)	Monthly		X	

Contract Pharmacy Sampling

- All eligible claims from Contract Pharmacy TPAs are extracted from the database monthly.
- Target lines are extracted based on dispense volume, high cost, and origin. Additional targeting may be selected as deemed necessary by the 340B Program Manager.
- Additional lines are extracted using randomized database processes.

The extracted lines are reviewed by staff including specific checks on:

- Dispensing Pharmacy's OPAIS registration
- Prescriber eligibility
- Location eligibility based on child site registry
- Patient eligibility based upon written date of the prescription
- Payer eligibility

Mixed-Use Sampling

- All eligible dispensations from the Institutional TPA are extracted from the database monthly.
- Target lines are extracted based on dispense volume, high cost, and origin. Additional targeting may be selected as deemed necessary by the 340B Program Manager.
- Additional lines are extracted using randomized database processes.

The extracted lines are reviewed by staff including specific checks on:

- Drug administration/dispensation record
- Patient status at time of drug dispensation/administration
- Patient location at time of drug dispensation/administration
- Location eligibility and program participation date (if applicable)
- Internal billing systems for payers
- Consistency between data in TPA and internal systems

Provider Monitoring

- A Master Provider file is maintained using a combination of data from Human Resources and the Medical Staff Office (Credentialing). NMC collects provider employment and identifying information and adjusts this database on a regular basis. On a monthly basis, this data is exported and shared with TPAs as necessary to ensure complaint claims processing.

- Eligible 340B provider files may be collected from area hospitals and evaluated for possible crossover. Any providers identified in the crossover examination are risk evaluated and possibly excluded or placed on a monitor list.
- A list is maintained that contains high value but also high-risk providers. All claims from these providers are analyzed monthly to reclassify ineligible claims.

  A high-risk provider is one:

  - Who works at both eligible and non-eligible sites; or,
  - A provider whose prescribing and documentation practices occasionally do not meet standards (e.g., prescription refill requests are often undocumented, providers who frequently prescribe to patients who have not recently been seen). In addition to monthly analysis of claims, coaching and education are provided to the prescriber.
- Providers who have been excluded from eligibility are reviewed periodically to determine if their circumstances still present a compliance risk to NMC's 340B Program. If the risk is reduced, or if sufficient staffing resources are available, the provider may have their eligibility restored or be transitioned to the list of providers where all claims are monitored each month.
- If it is determined that a monitored provider's risk is increased or there are no longer available resources to monitor the provider, they are excluded from the list of eligible providers which is sent to the TPAs.

Replenishment Review

- NMC periodically reviews the 340B virtual inventory at in-house and contract pharmacies for non-compliance, initiating returns, reclassifications, or refunds on a case-by-case basis.
- NMC performs ongoing reviews to ensure that the data fed into the 340B and GPO accumulators are accurate and only charges from reimbursable clinics and departments are fed into the 340B accumulator.

OPAIS Database

- The Pharmacy Manager notifies the Authorizing Official when a change is required and the OPAIS Database is reviewed after any change request is submitted, to confirm the change is accurately reflected in the OPAIS Database. In the event the Pharmacy

Manager is not available to conduct the review, the 340B Program Manager conducts the review.

- NMC ceases purchasing 340B drugs for the hospital or its registered outpatient sites immediately if the hospital has concluded such locations are no longer eligible.

- OPAIS database review includes contract pharmacy PSAs to ensure accuracy of the database information in accordance with the program requirements and processes described in this policy.

Recordkeeping

- NMC has a system in place to ensure the above requirements are met through appropriate recordkeeping via software provided by third party administrators (TPAs). NMC maintains 340B records in compliance with CMS and Vermont / New York Medicaid record retention requirements.
- NMC maintains auditable patient records. A patient record will allow an auditor to determine what kind of professional health care service was provided in connection to the 340B prescription or order, the health care professionals that provided the care and wrote the prescription or order, the drugs prescribed or ordered, the relevant dates, the patient's name, etc.
- NMC maintains purchasing records showing which drugs were replenished using NMC's 340B account and dispensing/administration records showing which patients received the drugs to ensure they were eligible patients. NMC maintains documentation of returns of drugs.
- NMC's agreements with contract pharmacies require that they maintain records for the dispensation of drugs purchased at 340B prices, including all records for the billing, dispensing and receipt of medication. These records are accessible by NMC, its agents or others as required by law.
- NMC maintains a list of all 340B locations eligible to write prescriptions/ dispense drugs in the OPAIS database, termed "child sites". All outpatients seen within the four walls of NMC's main campus at 133 Fairfield Street are, by definition, 340B eligible. A Medicare Cost Report crosswalk is maintained and reviewed, to include all clinics and departments mapped to respective EMR, TPA, and OPAIS data.
- An eligible provider file is generated monthly and combines information from Human Resources and the Medical Staff Office. NMC provides appropriate and sufficient records to any third-party administrator in any case where a third-party

administrator's software is used to determine eligibility. The information submitted to the TPA may be modified to adjust specific provider eligibility.

- NMC retains documentation of the Oversight Committee meetings.

- Configurations, settings, and logic employed by software provided by contracted TPA are reviewed, approved, and periodically adjusted by the 340B Program Manager.

External Audit

An independent third-party compliance audit of NMC's 340B program is completed annually. The audit focuses on 340B operations and eligibility and involves a review of randomly selected mixed use, clinic administrations, and contract pharmacy claims. The review also focuses on:

- Location eligibility
- Diversion prevention
- Purchasing compliance and utilization review
- Contracting
- Policies and procedures
- Organizational education
- Documentation expectations
- Adherence to updated 340B program regulations and guidance

Program Oversight

NMC has implemented a 340B Drug Pricing Program Oversight Committee to monitor the overall compliance and maintenance of the 340B Program at NMC. The Oversight Committee is comprised of a multi-disciplinary team including, but not limited to, Senior Leadership, Finance, Regulatory Affairs, and Pharmacy. The Committee reviews internal monitoring findings, program developments, policy changes and other topics relevant to the oversight of the 340B Drug Pricing Program on an annual or as-needed basis. NMC's core 340B team meets at least quarterly to discuss program oversight and review compliance monitoring results, regulatory updates, and program highlights.